Shaily Engineering Plastics Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Vadodara precision plastics moulder. Its fastest-growing part designs and makes injection pens and auto-injectors (many on its own patented platforms) for generic drug makers, above all for GLP-1 weight-loss and diabetes drugs like semaglutide. It also makes home-furnishing parts for global retailers (Consumer), and auto, appliance and electronics parts (Industrial).

Number	Value	What it means
Market cap	Rs 14,459 cr	What the market says the whole company is worth.
Q2 FY27 revenue	Rs 320 cr	Record quarter, up 24% on a year ago.
Q2 FY27 EBITDA	Rs 102 cr at 31.9%	First Rs 100 cr quarter; margin was about 15% two years ago.
Q2 FY27 profit	Rs 61 cr	Up 20%.
Healthcare share	55% of revenue	Up from 38% a year ago and well under a fifth in FY24.
Return on capital	ROCE 41%, debt to equity 0.2x	High returns with little debt.
Stock P/E	71x	Priced for years of GLP-1 pen growth.

2. Concall coverage

Quarter	Date	Transcript read?
Q3 FY24	Feb 2024	Yes
Q4 FY24	May 2024	Yes
Q1 FY25	Aug 2024	Yes
Q2 FY25	Nov 2024	Yes
Q3 FY25	Feb 2025	Yes
Q4 FY25	14 May 2025	Yes
Q1 FY26	11 Aug 2025	Yes
Q2 FY26	Nov 2025	Yes
Q3 FY26	Feb 2026	Yes
Q4 FY26	May 2026	Yes
Q1 FY27	Aug 2026	Yes
Q2 FY27	30 Oct 2026	Yes, latest call read in full ★

Twelve consecutive quarterly calls, about three years.

Latest concall highlights: Q2 FY27 (call held 30 Oct 2026)

- Record quarter: revenue Rs 320 cr (+24%), EBITDA Rs 102 cr at 31.9%. Healthcare Rs 175 cr (+78%), now 55% of sales; Consumer down 14% on weak European and US home-furnishing demand.
- 10.4 million devices delivered; will beat the 36 million full-year guidance. Semaglutide generics launched in India, Canada and Brazil; Shaily says it supplies essentially every generic in Canada.
- The extra 25 million-pen line starts qualification next week, sales from December. Abu Dhabi plant (about 75 million devices, Rs 300-350 cr) due end FY28.
- New: Toby reusable auto-injector launched; emergency-use and oncology devices in development (clinical batches end 2027). Semiconductor trays start commercial shipments in Q4 FY27 with a Korean partner.
- Pen prices are eroding 10-15% under long contracts, but management expects to hold margins as plants fill up (utilisation 52.5%).

Business mix & capacity

Domestic vs export: Exports 62.9% of H1 FY27 revenue (71.7% a year ago); the drop is because more pens go to Indian drug makers who then export.

Capacity use: Machine utilisation 52.5% in Q2 FY27, up from about 40% in FY24; pen capacity about 75 million a year once the new line runs.

3. Earning Trigger thesis

The trigger is Shaily's bet on drug-delivery devices paying off just as semaglutide goes off patent across many countries. Healthcare revenue has roughly quadrupled in two years and margins doubled. The next steps are more capacity (new line from December, Abu Dhabi by FY28), more countries launching generics, and eventually an innovator pharma customer.

Trigger	What management said	Evidence so far	Time horizon	Strength
GLP-1 generic pens	Beat 36 mn devices in FY27; about 15% more next year, not guidance	10.4 mn in Q2; healthcare +78%	Now	Strong
New pen capacity	25 mn line live by end Q2 FY26 (said Aug 2025)	Qualification only now; sales December 2026	Q3 FY27	Moderate: a year late
Abu Dhabi plant	About 75 mn devices	Under construction	End FY28	Unproven
Innovator customer	1-2 by end of 2027	RFQs ongoing; revenue 3-4 years after	2028+	Unproven
Electronics and semiconductor trays	Shipments from Q4 FY27	Trial production Q3	FY27-28	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	
New business	Yes	Semiconductor trays from Q4 FY27; consumer electronics supplies started; Toby reusable launched (30 Oct 2026)
Margin up	Yes	Gross margin recovered to 60%; EBITDA margin 31.9% (30 Oct 2026)
New management	No	
New capacity	Yes	25 mn pen line starts qualification, sales from December; Abu Dhabi plant by end FY28 (30 Oct 2026)
Big orders	Yes	Two new platform contracts; orders after semaglutide approvals in Canada and Brazil (Aug-Oct 2026)
Turnaround	No	
Promoter buying	No	

The single concrete driver: Pen and auto-injector supplies for generic semaglutide as it launches country by country, on Shaily's own patented device platforms.

3c. Margin bridge

EBITDA margin is about 32%, up from about 15% in FY24, as high-margin healthcare devices grew from under a fifth to over half of sales. Gross margin recovered to 60% this quarter after Q1's polymer cost spike. Management expects to hold margins despite pen price erosion, thanks to operating leverage on half-empty plants (lasting).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Aug 2024	Semaglutide first markets launch in 2026	India, Canada, Brazil launched in 2026	Delivered
May 2025	Commercial semaglutide pen supplies in FY26	Started	Delivered
Aug 2025	25 mn extra pen capacity on stream by end Q2 FY26	Qualifying Nov 2026, sales December	Missed
Nov 2025	Capacity to 80 mn pens by end FY26	About 75 mn only now	Missed
Nov 2025	Healthcare growth 30-40% a year	+81% in H1 FY27	Delivered
Feb 2025	Utilisation to about 80% in two to three years	52.5%	Too-early

Narrative drift: The core story (build own device platforms, ride GLP-1 generics) has been steady for three years and has come true. Capacity timelines are the weak spot: lines have arrived about a year late. Management talks candidly about pricing pressure and doesn't over-guide device volumes.

5. Bottom line

Durable earning trigger? → YES

Healthcare devices are now over half of sales, growing near 80%, and the semaglutide launch wave has only reached a few countries. Watch pen price erosion and capacity timing.

Management consistent? → MAYBE

The big strategic calls landed on time, but promised capacity additions slipped by about a year and Consumer stays weak.

6. Checkpoints for next quarter

- New 25 million pen line starts selling in December
- Full-year device deliveries beat 36 million
- Semiconductor tray shipments begin in Q4 FY27

This is not investment advice. Do your own due diligence.